

HOUSE BILL 704

By White

AN ACT to amend Tennessee Code Annotated, Title 49,
Chapter 4, relative to financial aid.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-4-902(11), is amended by adding the following as a new subdivision:

(D) For purposes of the Wilder-Naifeh technical skills grant and the Wilder-Naifeh reconnect grant, a private, nonprofit technical school that:

- (i) Has had its primary campus domiciled in this state for at least seventy-five (75) consecutive years;
- (ii) Is accredited by the Council on Occupational Education; and
- (iii) In addition to offering diploma, certificate, and associate degree programs, offers a baccalaureate degree through an articulation agreement with a regionally accredited postsecondary institution;

SECTION 2. Tennessee Code Annotated, Section 49-4-902(46), is amended by deleting the subdivision and substituting:

(46) "Wilder-Naifeh technical skills grant" means a grant funded from net proceeds of the state lottery and awarded under this part for coursework in an eligible program of study at a Tennessee college of applied technology operated by the board of regents of the state university and community college system or an eligible independent postsecondary institution as defined in subdivision (11)(D).

SECTION 3. Tennessee Code Annotated, Section 49-4-921, is amended by deleting subsection (a) and substituting:

(a) To be eligible for a Wilder-Naifeh technical skills grant, a student seeking a QNDC, diploma, or certificate at a Tennessee college of applied technology operated by the board of regents of the state university and community college system or an eligible independent postsecondary institution as defined in § 49-4-902(11)(D) shall:

- (1) Meet the requirements of §§ 49-4-904 and 49-4-905(a); and
- (2) Be admitted to the institution in a program of study leading to a certificate or diploma.

SECTION 4. Tennessee Code Annotated, Section 49-4-923, is amended by deleting subsection (b) and substituting:

(b) To be eligible for a Wilder-Naifeh reconnect grant, a student seeking a diploma or certificate at a Tennessee college of applied technology operated by the board of regents of the state university and community college system or an eligible independent postsecondary institution as defined in § 49-4-902(11)(D) shall:

- (1) Meet the requirements of §§ 49-4-904 and 49-4-905(a);
- (2) Be admitted to the institution in an eligible program of study;
- (3) Complete and file the FAFSA. Students must complete the FAFSA each academic year in which they seek to receive the Wilder-Naifeh reconnect grant; and
- (4) Be an independent student as determined by the FAFSA.

SECTION 5. Tennessee Code Annotated, Section 49-4-923, is amended by deleting subsection (g) and substituting:

(g)

- (1) Subject to the amounts appropriated by the general assembly and any law relating to a shortfall in funds available for postsecondary financial assistance from the net proceeds of the state lottery, a Wilder-Naifeh reconnect

grant awarded under this section is for independent students as determined by the FAFSA. The amount of a Wilder-Naifeh reconnect grant:

(A) For students enrolled in a Tennessee college of applied technology, is the cost of tuition and mandatory fees at the Tennessee college of applied technology attended less all other gift aid, which must be credited first to the student's tuition and mandatory fees; or

(B) For students enrolled in an eligible independent postsecondary institution as defined in § 49-4-902(11)(D), is the average cost of tuition and mandatory fees at Tennessee colleges of applied technology less all other gift aid, which must be credited first to the student's tuition and mandatory fees.

(2) Notwithstanding § 49-4-902, "gift aid" as used in this section is financial aid received from a federal Pell grant, a Tennessee student assistance award, and any scholarship or grant funded from net lottery proceeds under this part.

SECTION 6. This act takes effect July 1, 2025, the public welfare requiring it, and applies to students seeking postsecondary financial aid for the 2025-2026 academic year and each academic year thereafter.